

“There is reason to believe that fraud may have occurred somewhere within the organisation represented by this corpus. No assumptions are made about who was involved, how the fraud operated, when it occurred, or what evidence will prove or disprove it.”

Hypothetical Investigation Plan — Suspected Fraud

1. Investigative Premise

The investigation proceeds on the basis that there is reason to suspect that fraudulent conduct may have occurred within the organisation represented by the evidential corpus.

At commencement, no assumptions are made as to:

- the identity of any suspect;
- the nature or mechanism of any fraud;
- the period in which it may have occurred;
- the transactions or activities involved;
- the persons who may have participated in, facilitated, known of, or been affected by it; or
- the evidential significance of any particular communication or document.

The investigation is therefore directed to testing the suspicion rather than proving a predetermined allegation.

A proper outcome may include a conclusion that the available evidence does not sufficiently support any allegation of fraud.

2. Investigative Objective

The objective is to determine whether the corpus contains evidence capable of supporting a reasonable and properly evidenced inference that fraudulent conduct occurred.

Where such evidence is identified, the investigation should seek to establish, so far as the available record permits:

- the nature of the suspected conduct;

- the relevant chronology;
- the persons involved or possessing material knowledge;
- the communications, transactions, decisions or representations concerned;
- any apparent financial or other benefit;
- any actual or potential loss or detriment;
- any concealment, misrepresentation, omission or circumvention;
- the relationship between the principal actors;
- any subsequent action consistent or inconsistent with the suspected conduct;
- corroborating or contradictory evidence; and
- material gaps or uncertainties in the record.

Observation, inference, allegation and conclusion must remain distinguishable throughout.

3. Initial Corpus Examination

The investigation should first establish an understanding of the evidential environment before identifying suspects or forming substantive allegations.

This preliminary examination should include:

- the period covered by the corpus;
- principal participants;
- organisational functions and reporting relationships;
- communication volumes and patterns;
- available document types;
- significant subject areas;
- apparent concentrations or gaps in activity;
- abnormal or unexplained patterns;
- and limitations in the corpus.

The purpose of this stage is orientation.

It should not be treated as evidence of wrongdoing merely because unusual features are identified.

4. Identification of Potentially Relevant Anomalies

The corpus should then be examined for patterns or events that may warrant further investigation.

These may include:

- unusual or abrupt changes in communications;
- unexplained concentrations of activity;
- communications outside normal organisational or reporting structures;
- repeated references to discussions taking place by telephone, meeting or other channels;
- unexplained documentary gaps;
- references to missing or unavailable attachments;
- unusual approval or transaction sequences;
- unexplained changes in terminology or description;
- apparent circumvention of established processes;
- inconsistencies between contemporaneous records;
- or other departures from apparent ordinary practice.

Such matters should initially be classified as investigative leads or anomalies, not findings of fraud.

5. Development of Investigative Hypotheses

Where an anomaly is sufficiently material, a neutral investigative hypothesis should be formulated.

For example:

There may have been a transaction or decision-making process in which material information was knowingly withheld from persons who would ordinarily have been expected to receive it.

Any hypothesis should be accompanied by reasonable alternative explanations.

For example:

The same pattern may be explained by legitimate confidentiality, routine delegation, incomplete preservation of records, or communication through another medium.

The investigation should seek evidence capable of both supporting and disproving the hypothesis.

6. Reconstruction of Documentary Sequences

Potentially significant matters should be reconstructed chronologically.

For each sequence, the investigation should seek to establish:

- the earliest identifiable event;
- subsequent communications and actions;
- participants;
- information available to each participant at relevant times;
- instructions given;
- responses received;
- decisions apparently taken;
- resulting action;
- referenced meetings, telephone calls, attachments or other records;
- corroborating records;
- contradictory records;
- and unexplained breaks in the documentary sequence.

Particular attention should be given to communications referring to events or records for which no corresponding documentary trace can be located.

Such absence should be recorded as an evidential gap rather than treated automatically as proof of misconduct.

7. Documentary Provenance and Reliability

Where the evidential significance of a record depends upon its origin, transmission, authenticity or relationship to other documents, appropriate documentary analysis should be undertaken.

This may include consideration of:

- authorship;
- addressee;
- date and time;
- transmission history;
- copies and forwarding;
- attachments;
- document form;
- apparent function;
- relationship to other records;
- expected associated records;
- and consistency with ordinary organisational practice.

Where appropriate, principles of Diplomatics or other documentary methods may be applied.

8. Examination of Potential Fraud Indicators

Once potentially material conduct has been identified, the investigation may examine whether the available evidence supports elements commonly relevant to fraudulent conduct, including:

- representation;
- material omission;
- falsity;
- knowledge;
- intention;

- concealment;
- reliance;
- resulting action;
- benefit;
- loss or detriment;
- coordination between actors;
- and subsequent conduct consistent with concealment or justification.

At this stage, the investigation should avoid applying a definitive legal characterisation unless the relevant jurisdiction and legal test have been expressly established.

The task remains evidential before it becomes legal.

9. Persons, Relationships and Decision-Making

Where appropriate, the investigation should reconstruct the relationship between:

Person → information → decision → action → consequence

This may require examination of:

- reporting structures;
- repeated communication relationships;
- decision authority;
- information flows;
- common participation in relevant events;
- and changes in behaviour over time.

Network or relationship analysis may be used where proportionate and relevant.

Structured decision methods such as AHP or ANP should only be introduced where explicit comparative judgement is required and should not substitute for primary evidential analysis.

10. Search for Exculpatory and Contradictory Evidence

For every material hypothesis, the investigation should actively seek evidence that may undermine or disprove it.

This should include, where relevant:

- legitimate explanations;
- formal approvals;
- contemporaneous objections;
- corrective actions;
- contrary communications;
- evidence of lawful purpose;
- evidence inconsistent with the proposed chronology;
- evidence inconsistent with knowledge or intent;
- and evidence showing that apparently unusual conduct was routine.

A finding should not be regarded as sufficiently tested merely because supporting material has been identified.

11. Findings

Each substantive finding should distinguish clearly between:

Observation

What the evidential corpus actually records.

Inference

What may reasonably be inferred from those observations.

Alternative Explanation

Any material competing explanation.

Supporting Evidence

The principal records or analytical results supporting the finding.

Contrary Evidence

Any material inconsistent with or weakening the finding.

Evidential Gap

Any missing record, unresolved issue or uncertainty relevant to the finding.

Status

The finding may be classified, for example, as:

- lead;
- candidate finding;
- supported;
- strongly supported;
- contradicted;
- unresolved; or
- closed.

No finding should be expressed more strongly than the evidence permits.

12. Investigative Assurance

At appropriate stages, the investigation should test whether:

- the planned work was carried out;
- relevant evidence was within scope and accessible;
- search parameters and analytical methods were recorded;
- result sets were preserved;
- method changes were explained;
- negative searches were retained where material;
- contradictory evidence was actively sought;
- observation and inference remained distinguishable;
- potentially exculpatory material was considered;
- major findings can be reconstructed;

- and another competent investigator could review or challenge the analytical route.
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13. Investigative Record

The investigation should preserve a coherent record of:

- the investigative question;
- scope;
- methods selected;
- reasons for method selection;
- actions undertaken;
- evidence reviewed;
- results obtained;
- analytical decisions;
- deviations;
- uncertainties;
- findings;
- and assurance.

The completed ROMER should reconcile:

Reasoning — Observations — Methods — Evidence — Results

and should be derived from the recorded investigation rather than reconstructed retrospectively from memory.

14. Investigative Principle

The investigation is not directed to finding evidence that confirms fraud. It is directed to determining, by progressive and reviewable examination of the available evidence, whether a sustainable evidential case exists and, equally, whether reasonable alternative explanations remain.